

The Calm Is a Convention

Records, a VIX under 19, and an inflation nowcast climbing to 3.65 per cent — a note on what the calm is resting on.

THE READING

Wednesday's US session broke the melt-up without breaking the tape. The S&P slipped 0.17%, the Nasdaq fell 0.83%, and the Dow closed at another record. The VIX sits under 19 with positive gamma; Hedgeye's band runs 15.03 to 20.65 and the TREND signal is bearish. Tier1 Alpha's gamma throttle reads about 21, above the 20 line that says trim rather than chase.

Underneath, the inputs are not calm. The August inflation nowcast is reaccelerating toward 3.65%. The dollar has broken bearish on both TRADE and TREND. Crude sits below both its levels. Equal-weight equities printed an all-time high in the same week five names carried roughly 43% of the index's move. Payrolls arrives Friday.

WHAT WISDOM WOULD SAY

Keynes gave chapter twelve of the General Theory to the question of why markets are ever calm at all. His answer was that we fall back on a convention, whose essence "lies in assuming that the existing state of affairs will continue indefinitely, except in so far as we have specific reasons to expect a change."

He did not think this foolish. For any single holder it is reasonable enough: the position is liquid, the judgment revisable, and nobody is obliged to form a view about 2031. His point was that a convention is not a calculation. It holds because enough people are holding it, and it gives way on a change of confidence rather than on the arrival of a fact.

That is what the S&P's 7,354 to 7,801 range describes. It is wide enough that almost any session this week confirms whatever you brought to it. A VIX under 19 is not a judgment that 3.65% inflation is survivable. It is the assumption that today will resemble yesterday — and Friday's payroll print is precisely the sort of thing that supplies a specific reason.

THE RISK IT JUSTIFIES

The consequence is about size, not direction. With the gamma throttle above 20 and the majors having closed through their Risk Range ceilings on Tuesday, adding here buys the convention at its most expensive point: the moment before anything has supplied a reason. The specific refusal is new exposure to what led the two-day squeeze — the consensus-short and profitless-technology baskets — which moved because positions closed, not because anything was learned.

Do the sizing before the print rather than after it. A conventional price makes the next move look larger than it is, and the decision taken in the minute after payrolls will be worse than the one written this morning.

What would change the answer: the VIX through 20.65, or the ten-year out of its 4.58 to 4.74 band. Either one supplies the reason the convention is waiting for.

What in your book today is a judgment, and what is only the assumption that tomorrow resembles today?